



U.S. Small Business
Administration

Boots to Business Module 6

Introduction to Business Planning

Version 5.0



ASSOCIATION OF
WOMEN'S BUSINESS CENTERS



MISSISSIPPI STATE
UNIVERSITY

The Boots to Business entrepreneurship training program is provided through the coordinated efforts of the SBA and its valued partner network.
All SBA services are extended to the public on a nondiscriminatory basis. Reasonable arrangements for persons with disabilities will be made if requested at least two weeks in advance.

Objectives

- Understand the concepts and value of business planning
- Learn about tools and models that can help your business planning process
- Identify the essential elements of a business plan and focus them, based on your audience
- Utilize SBA Resource Partners and tools to develop a viable business plan

Agenda

- Approach to Business Planning
 - Why?
 - When?
 - Contents & Tools
 - Pitfalls to Avoid

A Few Thoughts...

“If you fail to plan, you plan to fail.”

- *Benjamin Franklin*

“In preparing for battle, I have always found
that plans are useless, but planning is
indispensable.”

- *Dwight Eisenhower*

Why It's Important?

Business Planning is the roadmap for turning your business idea or concept into a sustainable business:

Tells you how and when to do things, and with what resources

Analysis

- Identifying critical areas before investing your time, cash, resources

Decision Making

- As an evaluation tool for making strategic choices

Communication

- Necessary to get loans or investment



When To Do It?

Before you start spending money!

Remember, it is an on-going process, not a one-time event.

CAVEAT: All depends on what you are doing, your goals, and what your needs are.

Business Planning Priorities

- Your Value Proposition
- Your Customers
- Your Business and Economic Models
- The Identification & Mitigation of Risks
 - S.W.O.T. Analysis can help you think them through

Your Value Proposition

Value Proposition: a concise statement that summarizes how your product or service will be of value to a customer or better solve their problem than other similar offerings.



*When it absolutely, positively,
has to be there overnight*

Your Customers

FROM YOUR MARKET RESEARCH:

- **IDENTIFY** your target market(s)
- **INCLUDE** what you know about your customers
 - Consumers: demographics, geography, lifestyle, shopping habits
 - Commercial/Wholesale: industry compatibility; government need
- **QUANTIFY:**
 - Current Market: *How many are there?*
 - Future Growth: *How many will there be?*
 - Economic Reliability of Your Markets: *How many have the incentive/ability to give you their money?*
- **VALIDATE** by citing your research



Your Business & Economic Models

- Which products/services are valuable to your customers and profitable for your business?
- What is your pricing model? What are your customers willing to pay?
- What kinds of resources do you need? Physical assets, materials and/or staff?
- What are your fixed and variable costs?

Risks & Mitigation: S.W.O.T Analysis

Strengths	Weaknesses
What are your business advantages? What are your core competencies? Where are you making the most money? What are you doing well?	What areas are you avoiding? Where do you lack resources? What are you doing poorly? Where are you losing money? What needs improvement?
Opportunities	Threats
Any beneficial trends? Niches that competitors are missing? New technologies? New needs of customers?	Obstacles to overcome? Aggressive competitors? Successful competitors? Negative economic conditions? Government regulations? Changing business climate? Vulnerabilities?

FedEx® S.W.O.T. Analysis

Strengths

- Time-critical deliveries
- Strong brand reputation & presence
- Industry leader (by market share)
- Variety of services
- Extensive global network and supply chain
- Effective marketing

Weaknesses

- Overreliance on North American market
- Limited diversification into e-commerce
- Increasing transport costs
- Reputation for poor customer service

Opportunities

- Expand into emerging markets
- Focus on retail e-Commerce
- Adopt more carbon-neutral operations
- Innovation

Threats

- Anti-Globalization movement
- Stiff competition from rivals within sector
- Fluctuations in fuel prices

The Business Model Canvas

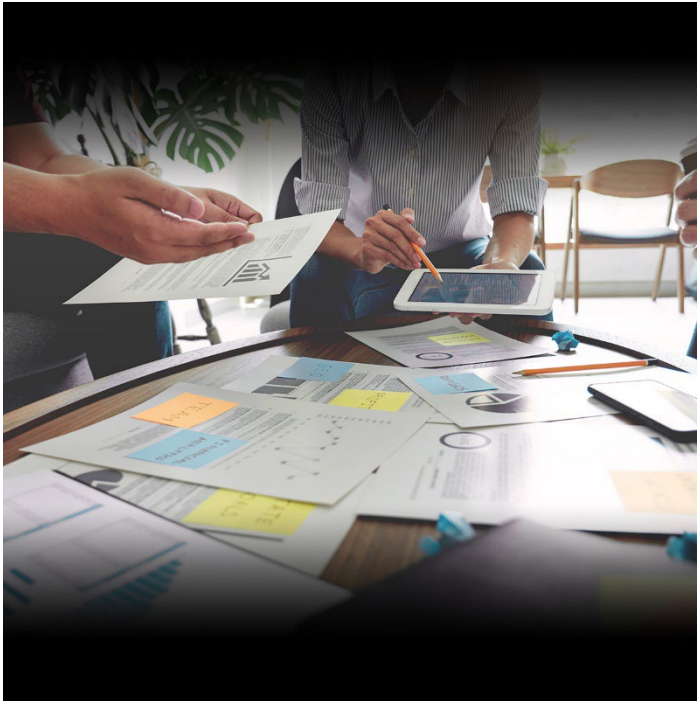
- A one-page visual representation that summarizes the key components of your business
- Lets you put your entire business down on paper
- A quick and easy tool that can be completed in hours or days
- Helps assess your strategy, planning gaps & exposure to risk
- The work you do on your business model canvas can be incorporated into a formal business plan



The Business Model Canvas

KEY PARTNERS Who are your key partners?	KEY ACTIVITIES What are the activities you perform every day to deliver your value proposition?	VALUE PROPOSITION What is the value you deliver to your customer? What is the customer need that your value proposition addresses?	CUSTOMER RELATIONSHIPS What relationship does each customer segment expect you to establish and maintain?	CUSTOMER SEGMENTS Who are your customers?
	KEY RESOURCES What are the resources you need to deliver your value proposition?		CHANNELS How do your customer segments want to be reached?	
COST STRUCTURE What are the important costs you make to deliver the value proposition?			REVENUE STREAMS How do customers reward you for the value you provide to them?	

Business Plan



- A comprehensive document that outlines the details of a business, its goals, strategies, and financial projections
- Provides a baseline for tracking the company's performance, its goals and objectives
- Helps you communicate with stakeholders
- If looking to secure financing from investors, lenders, or other sources, a business plan is generally expected

What's in it?

1. Executive Summary
2. Your Concept
3. Industry Description
4. Market Analysis
5. Your Competition
6. Economics of the Business
7. Marketing Strategy
8. Management Team
9. Operations
10. Risks & Assumptions
11. Timeline
12. Financial Projections
13. Offering/Use of Funds

Different People Focus on Different Things in a Business Plan

Friends and Family

- Support of the project
- Potential participation and/or funding

Lenders

- Debt = Your ability to re-pay the loan on time, with interest
- Reducing their risk = how much money, how will you use it, how long will you need money, your collateral, your credit rating, projected or current cash flow

Investors

- Growth Potential - market size, competitors, lead time, return on investment
- Innovation – New ideas, technology, intellectual property

Business Plan Pitfalls & Fixes

PITFALLS 	FIXES 
Lack of Clarity • Big idea vs. details • Writing style & jargon	• Provide scenarios and data • K.I.S.S: Keep it Simple & Succinct • Avoid acronyms
Lack of Continuity & Consistency • Numbers • Verbiage	• Be conservative in estimates • Check your numbers • Proofread for errors, spelling, etc.
Lack of Realism • Financials, market size, suppliers, etc. too optimistic	• Be conservative – compare best and worst case scenarios, and choose the middle
Lack of Flexibility • Failure to assess internal and external risks	• SWOT analysis to identify risks and ways to mitigate their impact to maximize potential for success • Update as needed

No Cost Business Planning Tools & Resources



U.S. Small Business
Administration

Business Plan
Development Tools

[SBA.gov](https://www.sba.gov)



Business Plans & Startup
Assistance Resources

[SCORE.org](https://www.score.org)



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Connect with your local
[Women's Business Center](#)



Connect with your local
SBDC



Connect with your local
VBOC



Business Model Canvas Resources
[Strategyzer](#) & [Canvanizer](#)

BOOTS to BUSINESS | **REVENUE READINESS**
Business Model to Business Plan

B2B Follow on course: Boots to
Business Revenue Readiness -
Business Model to Business Plan
[Boots to Business Revenue
Readiness Course \(B2B RR\)](#) | [Boots
to Business \(msstate.edu\)](#)

Key Takeaways

- Business planning helps you develop strategies for turning your business idea into a sustainable business
- A business plan or business model canvas is more tactical. For either of those, you'll need to think about:
 - Value Proposition, customers, business and economic models, identification & mitigation of risks
 - What are your goals and expectations?
 - Who is your audience?
- You'll also need to start thinking about your Teams:
 - Internal management team
 - B.A.I.L Team (Banker – Accountant/Tax Advisor - Insurance Agent – Lawyer)
 - External advisors and mentors
- Tap into the SBA Resource Partner Network

Filling In YOUR Business Model Canvas...

KEY PARTNERS Who are your key partners?	KEY ACTIVITIES What are the activities you perform every day to deliver your value proposition?	VALUE PROPOSITION What is the value you deliver to your customer? What is the customer need that your value proposition addresses?	CUSTOMER RELATIONSHIPS What relationship does each customer segment expect you to establish and maintain?	CUSTOMER SEGMENTS Who are your customers? <i>Lorem ipsum dolor sit amet, consectetur adipiscing elit, sed do eiusmod tempor incididunt ut labore et dolore magna aliqua.</i>
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Fill in this section of BMC in student workbook



You completed in an earlier module

Questions & Discussion